

Class 22

Fiscal Capacity: Taxes, Insurance, and Debt

Part IV — Governing Capitalism's Consequences

The American Economy — draft course materials (proposal under discussion)

The point of today's class

Fiscal capacity — the ability to tax, borrow, insure, and repay credibly — is a core American institution: the U.S. became powerful partly because it built public credit early, but today's social-insurance promises, health spending, and interest costs are growing faster than the revenue system designed to support them.

Why it matters

- ▶ Who pays for the promises? Every Social Security check, Medicare bill, and interest payment must be financed — by taxes today, taxes tomorrow, inflation, spending cuts, or growth.
- ▶ Reject two bad stories:
 - ▶ **Bad story 1:** taxes are just theft, and debt never matters.
 - ▶ **Bad story 2:** government promises are free if they are morally desirable.
- ▶ Better: taxes finance civilization but change incentives; debt can finance wars, recessions, and investment, but persistent debt growth eventually crowds out everything else.
- ▶ A serious society keeps promises by matching benefits, taxes, growth, and borrowing capacity.

Today

1. Hamilton and the invention of American public credit
2. What taxes do — and who really pays
3. Redistribution vs. social insurance
4. Social Security, Medicare, and demographics
5. Deficits, debt, and the interest snowball
6. Sustainability: the fiscal menu

Hamilton, 1790: the invention of American public credit

- ▶ Hamilton's *First Report on Public Credit*: assume the states' Revolutionary War debts and pay federal obligations in full — to establish the credit of the new nation.
- ▶ Assumption was among the most contentious fights of the first Congress — settled in the Compromise of 1790.
- ▶ The payoff: a government that can tax, borrow, and repay can fight wars, build infrastructure, stabilize crises, and finance public goods.
- ▶ Fiscal capacity is not accounting — it is an **institution**.

Good uses of debt	Bad uses of debt
War / emergency	Routine consumption with no plan
Recession stabilization	Permanent structural deficits
Productive investment	Politically hidden costs
Smoothing temporary shocks	The interest snowball

Debt is not inherently bad — unbacked promises are.

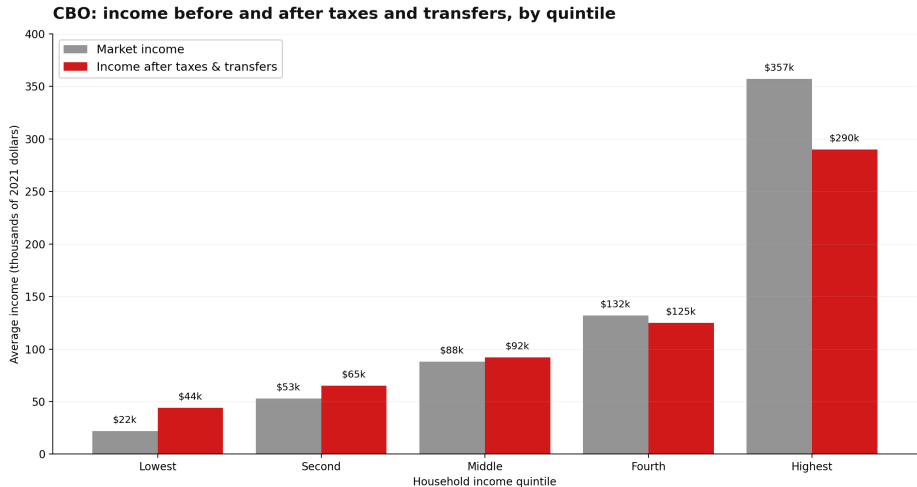
What taxes do — and who really pays

- ▶ FY2025 federal revenue: about \$5.23 trillion — mostly individual income taxes, payroll taxes, and corporate taxes.
- ▶ Taxes have three jobs: **raise revenue** (defense, courts, interest), **redistribute** (EITC, progressive rates), and **change behavior** (cigarette, gas, carbon taxes).
- ▶ **Incidence**: who bears the burden after prices, wages, and returns adjust — not who mails the check.

Tax legally paid by	Who may actually bear it
Employer payroll tax	Workers, through lower wages
Corporate tax	Shareholders, workers, consumers
Tariff	Consumers and importing firms
Sales tax	Depends on elasticities

The design problem: raise revenue fairly while minimizing disincentives to work, save, invest, and innovate.

CBO: income before and after taxes and transfers



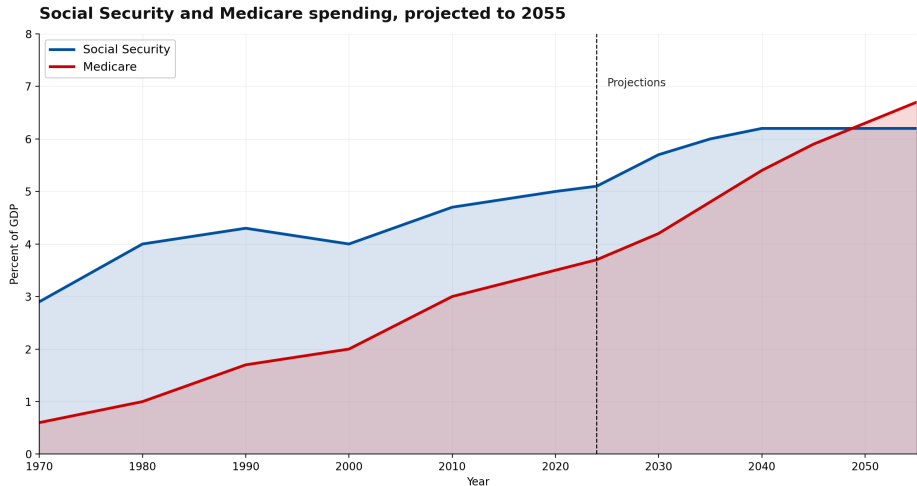
Source: Congressional Budget Office, *The Distribution of Household Income, 2022*.

Redistribution vs. social insurance

Redistribution	Social insurance
Transfers across income groups	Pools risk across people and over life
Means-tested benefits	Social Security, Medicare, UI
Equity justification	Risk / insurance justification
Targets the current poor	Covers the broad middle class

- ▶ From 1979 to 2022, income before transfers and taxes grew for every quintile — but far more at the top: the top 1%'s share rose from 9% to 18%.
- ▶ The tax-and-transfer system reduces inequality through many distinct mechanisms: Social Security, Medicare, UI, EITC, SNAP, Medicaid, progressive taxes.
- ▶ Social Security is not “welfare for the elderly” — it is insurance against old age, disability, survivor risk, and outliving your savings.

Social Security and Medicare spending, projected



Source: CBO Long-Term Budget Outlook (March 2025), Tables A-1 and A-2.

Source: Congressional Budget Office, Long-Term Budget Outlook 2025. Trust funds depleted in 2033.

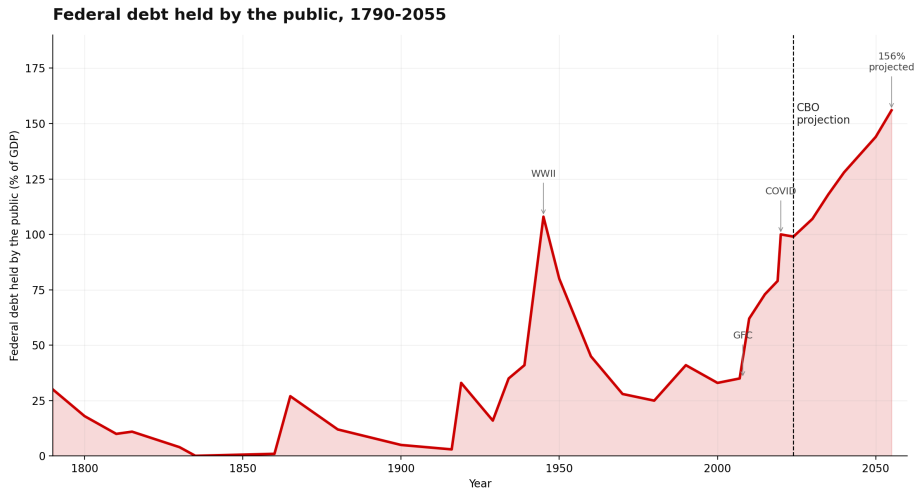
Demographics and pay-as-you-go arithmetic

- ▶ The Trustees project the Social Security (OASI) trust fund depleted in **2033**; Medicare's Hospital Insurance fund also in **2033**.
- ▶ Depletion does *not* mean benefits go to zero — it means dedicated revenues can no longer pay full scheduled benefits.
- ▶ Pay-as-you-go arithmetic: benefits per retiree $\times$ retirees must be financed by taxes per worker $\times$ workers, plus borrowing and trust-fund drawdown.

Demographic change	Fiscal effect
Lower fertility	Fewer future workers per retiree
Longer life expectancy	More years of benefits
Baby-boom retirement	Larger beneficiary population
Immigration	Can raise labor force and revenue
Health-cost growth	Higher Medicare / Medicaid spending

Class 14–15 callback: fertility, aging, and immigration are fiscal policy.

Federal debt held by the public, 1790–2055

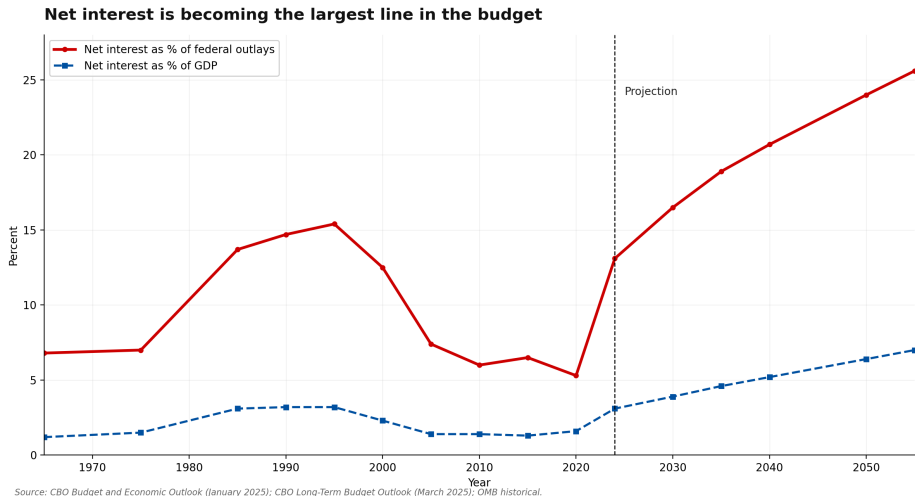


Source: Congressional Budget Office, Long-Term Budget Outlook (2025). Projected to reach 156% of GDP by 2055.

Deficits, debt, and the interest snowball

- ▶ **Deficit** is a flow — annual spending minus revenue, the water entering the tub. **Debt** is a stock — the water in the tub.
- ▶ Debt creates interest, and interest creates more debt: CBO projects the deficit rising from 5.8% of GDP in 2026 to 6.7% in 2036 — while the *primary* deficit *falls* from 2.6% to 2.1% and net interest *grows* from 3.3% to 4.6%.
- ▶ Sustainability in words: debt/GDP stabilizes when growth is fast enough, interest rates are low enough, and primary deficits are small enough. (Optional formula: $\Delta(\text{debt/GDP}) \approx \text{primary deficit} + (r - g) \times \text{debt/GDP}.$)
- ▶ Why was WWII debt manageable? Strong growth, low rates, improving primary balances, and war spending that ended. Today's path: persistent primary deficits, aging, health costs, rising interest.

Net interest is becoming the largest line in the federal budget



Source: Congressional Budget Office, *The Budget and Economic Outlook*.

The fiscal menu — there is no magic option

Policy lever	Tradeoff
Raise income taxes	Revenue vs. work and saving incentives
Broaden the tax base	Efficiency vs. political pain
Reduce benefits	Solvency vs. old-age security
Raise the retirement age	Reflects longevity, uneven burden
Slow health spending	Hard to do, large payoff
Increase immigration	More workers and revenue
Increase growth	Best, but hard to legislate

- ▶ A pro-growth rule of thumb: borrow for emergencies and investments; pay for ordinary commitments with ordinary revenue; keep debt stable over the long run; tax with low distortion; insure real risks without hiding costs.

Discussion

Pick two: low taxes, generous benefits, low debt. You can prioritize any two more easily than all three. Which two would you pick — and what would you tell the people who lose the third?

Read before next class

- ▶ Hamilton, *First Report on Public Credit* (excerpt) — the founding document of American fiscal capacity.
- ▶ CBO, *The Long-Term Budget Outlook: 2025 to 2055* (skim the figures).